

percent and the P/E stays the same, you could make 25 percent a year. But that's the absolute upside, because it would be rare indeed for the P/E to climb from 40 to 60. The downside looks scary, however. The simplest way to get hurt is illustrated, again, by what happened to IGT. The company's business remained great; earnings beat analysts' expectations. But the stock came down to fifteen times earnings because the overall market was weak and the gambling-stock craze waned; investors moved on to the next hot sector. A company's business can remain strong but you can still lose money.

Even worse, earnings can stumble—and on balance, they will. Studies have shown that if you take the ten companies with the highest expected growth rates over the next one to five years, you will have more failures to reach predicted levels than you will companies that exceed the analysts' targets. Analysts, too, get carried away. It's far too easy to take a piece of paper and write down 25 percent as a projected growth rate.

Earnings can stumble—and on balance, they will.

Those are the realities, and why we apply a value template to even the fastest growers.

What Shall We Do Today?

The money management business, my business, has a primary problem. Simply stated, it's "What am I going to do today?" The answer to that question sums up our investment process.

Most businesses don't have that problem. If you're running a coffee shop, you know very well what you have to do today. You have